

Pawan Kumar Sharma v. Paschimanchal Vidyut Vitran Nigam Ltd. & 3 Others

Allahabad High Court · Division Bench · 18 April 2024 · 2024:AHC:67397-DB · Writ - C No. 3620 of 2024 · **Writ disposed of; the notice of 28.11.2023 is treated as withdrawn after the final assessment of 16.04.2024, with liberty to challenge that assessment independently**

HEADNOTE

A notice dated 28 November 2023 informed the petitioner of a one-time settlement and of the sum payable under it, on an allegation of theft of electricity. The licensee's instructions showed that the recovery notice had been issued although no final assessment order existed. On 1 March 2024 the Division Bench kept the recovery in abeyance and required the Managing Director of Paschimanchal Vidyut Vitran Nigam Ltd. to explain how recovery could issue without the assessment procedure under the Act and the U.P. Electricity Supply Code, 2005. On 6 March 2024 it recorded that it was not satisfied with monitoring of compliance with Clause 6.8. The Managing Director placed an office memorandum of 26 March 2024 requiring assessing officers to recall recoveries where the prescribed procedure had not been followed, and a personal hearing was fixed for 10 April 2024. The petitioner appeared, filed objections, and a final assessment was passed on 16 April 2024. The Court held that no further direction was required on the impugned notice, which the department treats as withdrawn in view of that fresh assessment, and disposed of the writ with liberty to challenge the fresh assessment in independent proceedings. It did not decide the fresh assessment, whether theft was proved, or whether Clause 6.8 or the theft-assessment clauses governed.

FACTUAL SUMMARY

Pawan Kumar Sharma challenged a notice dated 28 November 2023 of Paschimanchal Vidyut Vitran Nigam Ltd. The notice informed him of a one-time settlement scheme and of the amount payable under it, on an allegation that he had committed theft of electricity. Instructions furnished by the electricity department showed that the recovery notice had been issued although no final assessment order was in existence.

On 1 March 2024 the Court kept the recovery in abeyance and required the Managing Director to explain how it could issue without the assessment procedure under the Act and the U.P. Electricity Supply Code, 2005. On 6 March 2024 the Court said it was not satisfied that Clause 6.8 was being monitored, and directed listing with Writ-C No. 3458 of 2024. The Managing Director then relied on an office memorandum of 26 March 2024 requiring assessing officers to recall recoveries where the prescribed procedure had not been followed. The petitioner appeared on 10 April 2024, filed objections, and a final assessment was passed on 16 April 2024.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8

Recovery notice issued with no final assessment order kept in abeyance; writ ends once a hearing, a fresh final assessment, and departmental withdrawal of that notice have followed

QUESTION

Can a recovery notice, telling the consumer the sum payable under a one-time settlement on an allegation of theft, be enforced when no final assessment order exists and the assessment procedure has not been followed?

HOLDING

No. On the department's instructions the Court found, on 1 March 2024, that the impugned recovery notice had been issued without any final assessment order, and required the Managing Director to explain how recovery could issue without the procedure for assessment under the Act and the U.P. Electricity Supply Code, 2005. Recovery was kept in abeyance. On 6 March 2024 the Court recorded that it was not satisfied that proper monitoring ensured compliance with Clause 6.8 and other statutory provisions. The order of 18 April 2024 repeats that proper procedure had not been followed and that the notice had issued without a final

assessment. By then the petitioner had been heard on 10 April 2024 and had filed objections, and a final assessment had been passed on 16 April 2024. The Court held that no further direction was required on the impugned notice, which the department treats as withdrawn because of that fresh assessment, and disposed of the petition with liberty to challenge the fresh assessment in independent proceedings.

¶ 1.3.2024: 1-2, 4; 6.3.2024: 2; 18.4.2024: 3, 6-7

QUALIFIER

The abeyance directed on 1 March 2024 was continued until disposal. The Court did not quash or examine the assessment of 16 April 2024.

FLAG Six-page order-sheet of five sittings. 8.2.2024 (Vivek Kumar Birla and Donadi Ramesh, JJ.) only adjourned for instructions on whether the petitioner had applied for one-time settlement. The orders of 1.3.2024, 6.3.2024, 1.4.2024 and the disposing order of 18.4.2024 are by Manoj Kumar Gupta and Kshitij Shailendra, JJ. Neutral Citation No. 2024:AHC:67397-DB is printed on the 18.4.2024 order, whose paragraphs are numbered 1-7 and which sets out the 1.4.2024 order. Clause 6.8 is named in para 2 of the 6.3.2024 order. The 1.3.2024 and 18.4.2024 orders speak of the assessment procedure under the Act and the Supply Code, and of a final assessment, without repeating a clause number or citing a section of the Electricity Act, 2003. The final order records an allegation of theft and does not cite Clause 8.1 or 8.2. Each sitting restarts paragraph numbering. No precedent is cited. The caption spells the licensee Vidhut; the body also uses Vidyut, Vidhyut, and Pashchimanchal.

PRINCIPLE TAGS

recovery-must-rest-on-final-assessment-order The department's instructions showed that the recovery notice of 28.11.2023 had been issued without any final assessment order. The Court kept recovery in abeyance on 1.3.2024. On 18.4.2024 it recorded that finding. Once a final assessment of 16.4.2024 had been passed, the department treated the notice as withdrawn and the writ was disposed of without a direction on that notice.

¶ 1.3.2024: 1, 4; 18.4.2024: 3, 6

6.8-procedure-mandatory On 6.3.2024 the Court recorded that it was not satisfied that compliance with Clause 6.8 of the Electricity Supply Code, 2005, and other statutory provisions, was being monitored, and required a further affidavit on the mode of monitoring and on action against erring officers. The disposing order treats the absence of the prescribed procedure, together with the absence of a final assessment, as the defect in the impugned notice. The steps inside Clause 6.8 are not set out. ¶ 6.3.2024: 2-3; 18.4.2024: 3

opportunity-before-final-assessment After the stay, a notice fixed 10.4.2024 for the petitioner's personal hearing. The Court expected him to appear. He appeared and filed objections, and the final assessment of 16.4.2024 followed. The Court did not decide whether that hearing cured the earlier defect. It treated the impugned notice as withdrawn and left the fresh assessment to a separate challenge. ¶ 1.4.2024: 3-4; 18.4.2024: 5-7

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — CORRECTNESS AND QUANTUM OF THE FINAL ASSESSMENT DATED 16.04.2024, AND WHETHER THEFT OF ELECTRICITY WAS PROVED

Liberty was reserved to challenge that order in independent proceedings. The Court said no further direction was required on the notice the department treats as withdrawn. ¶ 18.4.2024: 3, 5-7

NOT DECIDED — WHETHER THE PETITIONER HAD APPLIED FOR THE ONE-TIME SETTLEMENT

The 8.2.2024 order adjourned for instructions on that question. The final order describes the notice as informing him of the scheme and the amount payable. It does not find that he had, or had not, applied. ¶ 8.2.2024: 1; 18.4.2024: 2

NOT DECIDED — WHETHER A THEFT ASSESSMENT IS GOVERNED BY CLAUSE 6.8 OR BY CLAUSES 8.1 AND 8.2

The final order records an allegation of theft. Clause 6.8 is named in the 6.3.2024 order on monitoring. The Court did not distinguish the clauses and did not cite Clause 8.1 or 8.2. ¶ 6.3.2024: 2; 18.4.2024: 3

NOT DECIDED — VALIDITY OF THE OFFICE MEMORANDUM DATED 26.03.2024, THE TRAINING OF THAT DAY, AND WHETHER MONITORING AND ACTION AGAINST ERRING OFFICERS WERE ADEQUATE

Taken from the Managing Director's affidavit and set out in the final order. The petition was disposed of without a continuing direction on those measures. ¶ 1.4.2024: 1-2; 18.4.2024: 4

NOT DECIDED — WRIT-C NO. 3458 OF 2024, DEVPATI DEVI V. STATE OF U.P. AND 2 OTHERS, CONCERNING PURVANCHAL VIDYUT VITRAN NIGAM LTD.

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